



MASENO UNIVERSITY
UNIVERSITY EXAMINATIONS 2023/2024

**SECOND YEAR SECOND SEMESTER EXAMINATIONS FOR THE
DEGREE OF BACHELOR OF SCIENCE IN AGRICULTURAL
ECONOMICS WITH INFORMATION TECHNOLOGY**

MAIN CAMPUS

AEG 208: INTRODUCTION TO AGRICULTURAL POLICY

Date: 19th April, 2024

Time: 12.00 – 3.00 pm

INSTRUCTIONS:

- DO NOT write anywhere on this question paper
- Answer ALL questions in SECTION A and any other TWO from SECTION B



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AEG 208: INTRODUCTION TO AGRICULTURAL POLICY **TIME: 3 HOURS**
INSTRUCTIONS TO CANDIDATES

1. This paper consists of **TWO** sections. Answer **ALL** the questions in Section **A** and any **ONE** question in Section **B**.
2. Marks for each question are indicated in brackets against

SECTION A

QUESTION 1

- a. Define the following terms as used in agricultural policy. (5 Marks)
 - i) Leasehold tenure
 - ii) Freehold tenure
- b. Explain the following theories of public policies. (5 Marks)
 - i) Institutionalism
 - ii) Incrementalism
- c. Answer true or false. (5 Marks)
 - i) Public policy is whatever governments choose to do or not to do
 - ii) The only goal of agricultural policy is to raise or stabilize commodity prices and farm incomes
 - iii) Redistributive policies take resources from one group and giving them to another
 - iv) Regulatory policies seek to modify the behavior of groups or individuals through punishments only
 - v) A policy refers to the process of decision making and also the product of that process

QUESTION 2

- a. Using appropriate examples, explain private solutions to externalities. (5 Marks)
- b. Explain five challenges of land reforms in Kenya. (5 Marks)
- c. Hustlers' fund is a programme under government of Kenya's credit policy aimed at economic growth and development. Highlight the bottlenecks faced by this programme in making credit affordable to Kenyans. (10 Marks)

QUESTION 3

- a. Assume that the price of a major cash crop maize has decreased. The government intervenes through a minimum price control. Using a clearly labeled diagram, show the effects of this intervention. (5 Marks)
- b. A paper mill in a certain county is polluting the environment through the emission of smoke in the air and pollutants into nearby streams. The government has decided to introduce a corrective tax (*Pigovian tax*) to internalize the pollution. Using a clearly labeled diagram, evaluate the effects of this measure. (10 Marks)

SECTION B

QUESTION 4

- a. The government of Kenya engages in the marketing of agricultural commodities through state corporations such as the National Cereals and Produce Board (NCPB) in a bid to control prices. Discuss the challenges of state involvement in marketing through the NCPB. (10 Marks)
- b. Using appropriate examples, explain factors that affect the context of agricultural policy-making in Kenya. (10 Marks)

QUESTION 5

The East African Community (EAC) is a blessing to Kenya. Discuss. (20 Marks)